



Companies (Floating Charges and Receivers) (Scotland) Act 1972

1972 CHAPTER 67

An Act to re-enact with modifications the law of Scotland in relation to floating charges; to make provision for the appointment and functioning of receivers in respect of incorporated companies which the Court of Session has jurisdiction to wind up; to confer on receivers or managers of the property and undertaking of a company incorporated in England certain powers over the property of that company in Scotland; and for purposes connected therewith.

[17th October 1972]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

PART I

FLOATING CHARGES

1.—(1) It shall be competent under the law of Scotland for an incorporated company (whether a company within the meaning of the Act of 1948 or not), for the purpose of securing any debt or other obligation (including a cautionary obligation) incurred or to be incurred by, or binding upon, the company or any other person, to create in favour of the creditor in the debt or obligation a charge, in this Act referred to as a floating charge, over all or any part of the property (including uncalled capital) which may from time to time be comprised in its property and undertaking.

Power of incorporated companies to create floating charges.

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(2) A floating charge created by a company shall, on the commencement of the winding up of the company, subject to sections 106A and 322 of the Act of 1948 (which relate among other things to the validity of floating charges), attach to the property then comprised in the company's property and undertaking or, as the case may be, in part of that property and undertaking, but subject to the rights of any person who—

- (a) has effectually executed diligence on the property or any part of it ; or
- (b) holds a fixed security over the property or any part of it ranking in priority to the floating charge ; or
- (c) holds over the property or any part of it another floating charge so ranking ;

and, subject as aforesaid, the provisions of the Act of 1948 relating to winding up, except section 327(1)(c) thereof, shall have effect as if the charge were a fixed security over the property to which it has attached in respect of the principal of the debt or obligation to which it relates and any interest due to or to become due thereon :

Provided that nothing in this subsection shall prejudice the operation of section 319(5) of the Act of 1948 (which provides among other things for the payment of certain debts in certain circumstances out of property comprised in or subject to a floating charge).

(3) Nothing in this section shall derogate from the provisions of sections 13(7) and 14(7) of this Act (attachment of floating charge on appointment of receiver).

(4) For the avoidance of doubt, it is hereby declared that, subject to section 322 of the Act of 1948, interest shall, in respect of a floating charge which after the commencement of this Act attaches to the property of the company, accrue until payment of the sum due under the charge is made.

**Creation
of floating
charges by
Scottish
companies.**

2.—(1) A floating charge may be created, in the case of a company which the Court of Session has jurisdiction to wind up, only by the execution, under the seal of the company, of an instrument or bond or other written acknowledgment of debt or obligation which purports to create such a charge.

(2) Execution in accordance with this section includes execution by an attorney authorised for such purpose by the company by writing under its common seal ; and any such execution on behalf of the company shall bind the company.

References in this Act to the instrument by which a floating charge was created are, in the case of a floating charge created by words in a bond or other written acknowledgment, references to the bond or, as the case may be, the other written acknowledgment.

3. For the avoidance of doubt, it is hereby declared that a floating charge shall, subject to the Act of 1948, have effect in accordance with this Act in relation to any heritable property in Scotland to which it relates, notwithstanding that the instrument creating it is not recorded in the Register of Sasines.

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Effect of floating charges in relation to heritable property in Scotland.

4.—(1) Sections 222 and 399(5) of the Act of 1948 (which specify the circumstances in which certain companies may be wound up by the court) shall, in relation to a company which the Court of Session has jurisdiction to wind up, have effect as if they included the following circumstances, that is to say, if there is subsisting a floating charge over property comprised in the company's property and undertaking, and the court is satisfied that the security of the creditor entitled to the benefit of the floating charge is in jeopardy.

Extension of power of court to wind up a company.

(2) The security of a creditor shall, for the purposes of subsection (1) of this section, be deemed to be in jeopardy if the court is satisfied that events have occurred or are about to occur which render it unreasonable in the interests of the creditor that the company should retain power to dispose of the property which is subject to the floating charge.

5.—(1) Subject to subsection (2) of this section, the instrument creating a floating charge over all or any part of the company's property under section 2 of this Act or any instrument of alteration under section 7 of this Act may contain—

Ranking of floating charges.

(a) provisions prohibiting or restricting the creation of any fixed security or any other floating charge having priority over, or ranking *pari passu* with, the floating charge; or

(b) provisions regulating the order in which the floating charge shall rank with any other subsisting or future floating charges or fixed securities over that property or any part of it.

(2) Where all or any part of the property of a company is subject both to a floating charge and to a fixed security arising by operation of law, the fixed security shall have priority over the floating charge.

(3) Where the order of ranking of the floating charge with any other subsisting or future floating charges or fixed securities over all or any part of the company's property is not regulated by provisions contained in the instrument creating the floating charge or in any instrument of alteration, the order of ranking shall be determined in accordance with the following provisions of this section.

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(4) Subject to the provisions of this section—

- (a) a fixed security, the right to which has been constituted as a real right before a floating charge has attached to all or any part of the property of the company, shall have priority of ranking over the floating charge ;
- (b) floating charges shall rank with one another according to the time of registration in accordance with Part IIIA of the Act of 1948 ;
- (c) floating charges which have been received by the registrar for registration by the same postal delivery shall rank with one another equally.

(5) Where the holder of a floating charge over all or any part of the company's property which has been registered in accordance with Part IIIA of the Act of 1948 has received intimation in writing of the subsequent registration in accordance with that Part of that Act of another floating charge over the same property or any part thereof, the preference in ranking of the first-mentioned floating charge shall be restricted to security for—

- (a) the holder's present advances ;
- (b) future advances which he may be required to make under the instrument creating the floating charge or under any ancillary document ;
- (c) interest due or to become due on all such advances ; and
- (d) any expenses or outlays which may reasonably be incurred by the holder.

(6) This section shall be without prejudice to section 319(5) of the Act of 1948 (preferential payments).

**Registration
of charges.**

1961 c. 46.

6.—For the purpose of securing the registration in Scotland of charges created by companies, the provisions set out in the Schedule to this Act as Part IIIA of the Act of 1948 shall have effect in substitution for Part IIIA of that Act as set out in Schedule 2 to the Companies (Floating Charges) (Scotland) Act 1961.

**Alteration
of floating
charges.**

7.—(1) The instrument creating a floating charge under section 2 of this Act or any ancillary document may be altered by the execution of an instrument of alteration by the company, the holder of the charge and the holder of any other charge (including a fixed security) which would be adversely affected by the alteration.

(2) Such an instrument of alteration shall be validly executed if it is executed—

- (a) in the case of a company, under its common seal or by an attorney authorised for such purpose by the company by a writing under its common seal ;

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- (b) where trustees for debenture-holders are acting under and in accordance with a trust deed, by those trustees ;
- (c) where, in the case of a series of secured debentures, no such trustees are acting, by or on behalf of—

- (i) a majority in nominal value of those present or represented by proxy and voting at a meeting of debenture-holders at which the holders of at least one-third in nominal value of the outstanding debentures of the series are present or so represented ; or

- (ii) where no such meeting is held, the holders of at least one-half in nominal value of the outstanding debentures of the series ; or

- (d) in such manner as may be provided for in the instrument creating the floating charge or any ancillary document.

(3) Subject to the modifications contained in subsection (4) of this section, sections 106A(1) and 106G of the Act of 1948 shall apply to an instrument of alteration under this section which—

- (a) prohibits or restricts the creation of any fixed security or any other floating charge having priority over, or ranking *pari passu* with, the floating charge ; or
- (b) varies, or otherwise regulates the order of, the ranking of the floating charge in relation to fixed securities or to other floating charges ; or
- (c) releases property from the floating charge ; or
- (d) increases the amount secured by the floating charge.

(4) Sections 106A(1) and 106G of the Act of 1948 shall apply to an instrument of alteration falling under subsection (3) of this section as if references in the said sections to a charge were references to an alteration to a floating charge, and as if, in the said section 106A(1)—

- (a) references to the creation of a charge were references to the execution of such alteration ; and
- (b) for the words from the beginning to the word “ applies ” there were substituted the words “ Every alteration to a floating charge created by a company ”.

(5) Any reference (however expressed) in any enactment, including this Act, to a floating charge shall, for the purposes of this section and unless the context otherwise requires, be construed as including a reference to the floating charge as altered by an instrument of alteration falling under subsection (3) of this section.

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Floating
charge not a
fraudulent
preference.

8. Section 322 of the Act of 1948 (effect of floating charge) shall be amended by inserting a new subsection as follows:—

“ (3) Where a company is being wound up in Scotland, a floating charge over all or any part of its property shall not be held to be an alienation or preference voidable by statute (other than by the provisions of this Act) or at common law on the ground of insolvency or notour bankruptcy.”

Amendment
of Act of
1948.

9. In section 455(1) of the Act of 1948, in the definition of “floating charge”, for the words “the Companies (Floating Charges) (Scotland) Act 1961” there shall be substituted the words “section 31(1) of the Companies (Floating Charges and Receivers) (Scotland) Act 1972”.

Amendment
of Industrial
and
Provident
Societies
Act 1967.
1967 c. 48.
1961 c. 46.

10. The Industrial and Provident Societies Act 1967 shall be amended as follows:—

(i) for any reference to the Companies (Floating Charges) (Scotland) Act 1961 there shall be substituted a reference to Part I of the Companies (Floating Charges and Receivers) (Scotland) Act 1972 and for any reference to the Act of 1961 there shall be substituted a reference to Part I of the Act of 1972 ;

(ii) in section 3(1), for the words from “any reference” to the end of the subsection there shall be substituted the words “that Part of that Act shall, so far as applicable, apply as if—

(a) references therein to a company or an incorporated company were references to a registered society ;

(b) references therein to the registrar and the registrar of companies were references to the registrar under this Act ; and

(c) references therein, however expressed, to registration of a floating charge, or registration in accordance with Part IIIA of the Act of 1948, or delivery to or receipt by the registrar of particulars for registration, were references to the delivery to the registrar of any document required by section 4(1) of this Act to be so delivered.” ;

(iii) in section 3(3), for the words “5(3) of the Act of 1961” there shall be substituted the words “5(4)(b) of the Act of 1972”.

(iv) in section 4(1) and (2)(a), for the word “fourteen” there shall be substituted the word “21” ; and

(v) in the Schedule—

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- (a) paragraph 5 shall be omitted ;
- (b) in paragraph 6, for the words “ Schedule 2 ” there shall be substituted the words “ the Schedule ” ;
- (c) after paragraph 6 there shall be inserted the following paragraph :—
 - “ 6A. In section 7, subsections (3) and (4) and the words ‘ subsection (3) of ’ in subsection (5) shall be omitted ” ;
- (d) paragraph 7 shall be omitted ; and
- (e) in paragraph 8, for the words “ Act of 1961 ” there shall be substituted the words “ Companies (Floating Charges and Receivers) (Scotland) Act 1972 ”.

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RECEIVERS

11.—(1) It shall be competent under the law of Scotland for the holder of a floating charge (including a floating charge subsisting as such at the commencement of this Act) over all or any part of the property (including uncalled capital), which may from time to time be comprised in the property and undertaking of an incorporated company (whether a company within the meaning of the Act of 1948 or not) which the Court of Session has jurisdiction to wind up, to appoint a receiver of such part of the property of the company as is subject to the charge. Power to appoint receiver.

(2) It shall be competent under the law of Scotland for the court, on the application of the holder of such a floating charge as is referred to in subsection (1) of this section, to appoint a receiver of such part of the property of the company as is subject to the charge.

(3) There shall be disqualified from being appointed as receiver—

- (a) a body corporate ;
- (b) an undischarged bankrupt ; and
- (c) a firm according to the law of Scotland.

(4) A body corporate or a firm according to the law of Scotland which acts as a receiver shall be liable to a fine of £100 ; and an undischarged bankrupt who so acts shall be liable on conviction on indictment to imprisonment for a term not exceeding two years, or on summary conviction to imprisonment for a term not exceeding six months or to a fine not exceeding £500 or to both.

(5) In this section, “ receiver ” includes joint receivers.

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1961 c. 46.

(6) In section 318 of the Act of 1948, as read with section 7(a) of the Companies (Floating Charges) (Scotland) Act 1961, the proviso is hereby repealed.

**Circumstances
justifying
appointment.**

12.—(1) A receiver may be appointed by the holder of the floating charge under section 11(1) of this Act on the occurrence of any event which, by the provisions of the instrument creating the charge, entitles the holder of the charge to make that appointment and, in so far as not otherwise provided for therein, on the occurrence of any of the following events, namely—

- (a) the expiry of a period of 21 days after the making of a demand for payment of the whole or any part of the principal sum secured by the charge, without payment having been made ;
- (b) the expiry of a period of two months during the whole of which interest due and payable under the charge has been in arrears ;
- (c) the making of an order or the passing of a resolution to wind up the company ;
- (d) the appointment of a receiver by virtue of any other floating charge created by the company.

(2) A receiver may be appointed by the court under section 11(2) of this Act on the occurrence of any event which, by the provisions of the instrument creating the floating charge, entitles the holder of the charge to make that appointment and, in so far as not otherwise provided for therein, on the occurrence of any of the following events, namely—

- (a) where the court, on the application of the holder of the charge, pronounces itself satisfied that the position of the holder of the charge is likely to be prejudiced if no such appointment is made ;
- (b) any of the events referred to in paragraphs (a) to (c) of subsection (1) of this section.

**Mode of
appointment
by holder of
charge.**

13.—(1) The appointment of a receiver by the holder of the floating charge under section 11(1) of this Act shall be by means of a validly executed instrument in writing (hereafter in this Part of this Act referred to as the “instrument of appointment”), a copy (certified in the prescribed manner to be a correct copy) whereof shall be delivered by or on behalf of the person making the appointment to the registrar of companies for registration within 7 days of its execution and shall be accompanied by a notice in the prescribed form.

(2) If any person without reasonable excuse makes default in complying with the requirements of the foregoing subsection

he shall be liable to a fine of £5 for every day during which the default continues.

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(3) The instrument of appointment shall be validly executed—

(a) by a company, if it is executed in accordance with the provisions of section 32 of the Act of 1948 as if it were a contract ; and

(b) by any other person, if it is executed in the manner required or permitted by the law of Scotland in the case of an attested deed.

(4) The instrument of appointment may be executed on behalf of the holder of the floating charge by virtue of which the receiver is to be appointed—

(a) by any person duly authorised in writing by the holder to execute the instrument ; and

(b) in the case of an appointment of a receiver by the holders of a series of secured debentures, by any person authorised by resolution of the debenture-holders to execute the instrument.

(5) On receipt of the certified copy of the instrument of appointment in accordance with subsection (1) of this section, the registrar shall, on payment of the prescribed fee, enter the particulars of the appointment in the register of charges.

(6) The receiver shall be regarded as having been appointed on the date of the execution of the instrument of his appointment.

(7) On the appointment of a receiver under this section, the floating charge by virtue of which he was appointed shall, subject to sections 106A and 322 of the Act of 1948, attach to the property then subject to the charge ; and such attachment shall have effect as if the charge were a fixed security over the property to which it has attached.

14.—(1) Application for the appointment of a receiver by the court under section 11(2) of this Act shall be by petition to the court, which shall be served on the company. Mode of appointment by court.

(2) On such application, the court shall, if it thinks fit, issue an interlocutor making the appointment of the receiver on such terms as to caution as the court may think fit.

(3) A copy (certified by the clerk of the court to be a correct copy) of the court's interlocutor making the appointment shall be delivered by or on behalf of the petitioner to the registrar of companies for registration, accompanied by a notice in the prescribed form within 7 days of the date of the interlocutor or such longer period as the court may allow.

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(4) If any person without reasonable excuse makes default in complying with the requirements of the last foregoing subsection he shall be liable to a fine of £5 for every day during which the default continues.

(5) On receipt of the certified copy interlocutor in accordance with subsection (3) of this section, and on receipt of a certificate by the appropriate officer of the court that caution as ordered by the court has been found, the registrar shall, on payment of the prescribed fee, enter the particulars of the appointment in the register of charges.

(6) The receiver shall be regarded as having been appointed on the date of his being appointed by the court.

(7) On the appointment of a receiver under this section, the floating charge by virtue of which he was appointed shall attach to the property then subject to the charge ; and such attachment shall have effect as if the charge were a fixed security over the property to which it has attached.

(8) In making rules of court for the purposes of this section, the Court of Session shall have regard to the need for special provision for cases which appear to the court to require to be dealt with as a matter of urgency.

**Powers of
receiver.**

15.—(1) Subject to subsection (2) of this section, a receiver shall have, in relation to such part of the property of the company as is attached by the floating charge by virtue of which he was appointed, the powers, if any, given to him by the instrument creating that charge and, in addition, he shall have under this Act the following powers as respects that property, in so far as these are not inconsistent with any provision contained in that instrument, namely—

- (a) power to take possession of, collect and get in the property from the company or a liquidator thereof or any other person, and for that purpose to take such proceedings as may seem to him expedient ;
- (b) power to sell, feu, hire out or otherwise dispose of the property by public roup or private bargain and with or without advertisement ;
- (c) power to borrow money and grant security therefor over the property ;
- (d) power to appoint a solicitor or accountant or other professionally qualified person to assist him in the performance of his functions ;
- (e) power to apply to the court for directions in connection with the performance of his functions ;

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- (f) power to bring or defend any action or other legal proceedings in the name and on behalf of the company ;
 - (g) power to refer to arbitration all questions affecting the company ;
 - (h) power to effect and maintain insurances in respect of the business and property of the company ;
 - (i) power to use the company's seal ;
 - (j) power to do all acts and to execute in the name and on behalf of the company any deed, receipt or other document ;
 - (k) power to draw, accept, make and endorse any bill of exchange or promissory note in the name and on behalf of the company ;
 - (l) power to appoint any agent to do any business which he is unable to do himself or which can more conveniently be done by an agent and power to employ and discharge servants ;
 - (m) power to have carried out to the best advantage any work on the property of the company and in general to do all such other things as may be necessary for the realisation of the property ;
 - (n) power to make any payment which is necessary or incidental to the performance of his functions ;
 - (o) power to carry on the business of the company so far as he thinks it desirable to do so ;
 - (p) power to grant any lease of the property, and to input and output tenants, and to take on lease any property required or convenient for the business of the company ;
 - (q) power to rank and claim in the bankruptcy, insolvency, sequestration or liquidation of any person or company indebted to the company and to receive dividends, and to accede to trust deeds for creditors of any such person ;
 - (r) power to present or defend a petition for the winding up of the company ; and
 - (s) power to do all other things incidental to the exercise of the powers mentioned in this subsection.
- (2) The foregoing provisions of this section shall apply—
- (a) subject to the rights of any person who has effectually executed diligence on all or any part of the property of the company prior to the appointment of the receiver ; and

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(b) subject to the rights of any person who holds over all or any part of the property of the company a fixed security or floating charge having priority over, or ranking *pari passu* with, the floating charge by virtue of which the receiver was appointed.

(3) A person transacting with a receiver shall not be concerned to inquire whether any event has happened to authorise the receiver to act.

(4) A receiver or manager of the property and undertaking of a company incorporated in England which has or acquires property in Scotland shall have, in relation to such part of that property as is attached by the floating charge by virtue of which he was appointed, the same powers as he has in relation to that part of the property attached by the floating charge which is situated in England, so far as those powers are not inconsistent with the law of Scotland.

**Precedence
among
receivers.**

16.—(1) Where there are two or more floating charges subsisting over all or any part of the property of the company, a receiver may be appointed under this Act by virtue of each such charge, but a receiver appointed by, or on the application of, the holder of a floating charge having priority of ranking over any other floating charge by virtue of which a receiver has been appointed shall have the powers given to a receiver by section 15 of this Act to the exclusion of any other receiver.

(2) Where two or more floating charges rank with one another equally, and two or more receivers have been appointed by virtue of such charges, the receivers so appointed shall be deemed to have been appointed as joint receivers.

(3) Receivers appointed, or deemed to have been appointed, as joint receivers shall act jointly unless the instrument of appointment or respective instruments of appointment otherwise provide.

(4) Subject to subsection (5) of this section, the powers of a receiver appointed by, or on the application of, the holder of a floating charge shall be suspended by, and as from the date of, the appointment of a receiver by, or on the application of, the holder of a floating charge having priority of ranking over that charge to such extent as may be necessary to enable the receiver second mentioned to exercise his powers under section 15 of this Act; and any powers so suspended shall take effect again when the floating charge having priority of ranking ceases to attach to the property then subject to the charge, whether such cessation is by virtue of section 22(6) of this Act or otherwise.

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(5) The suspension of the powers of a receiver under subsection (4) of this section shall not have the effect of requiring him to release any part of the property (including any letters or documents) of the company from his control until he receives from the receiver superseding him a valid indemnity (subject to the limit of the value of such part of the property of the company as is subject to the charge by virtue of which he was appointed) in respect of any expenses, charges and liabilities he may have incurred in the performance of his functions as receiver.

(6) The suspension of the powers of a receiver under subsection (4) of this section shall not cause the floating charge by virtue of which he was appointed to cease to attach to the property to which it attached by virtue of section 13(7) or 14(7) of this Act.

(7) Nothing in this section shall prevent the same receiver being appointed by virtue of two or more floating charges.

17.—(1) A receiver shall be deemed to be the agent of the Agency and company in relation to such property of the company as is liability of attached by the floating charge by virtue of which he was receiver for appointed. contracts.

(2) Subject to subsection (1) of this section, a receiver (including a receiver whose powers are subsequently suspended under section 16 of this Act) shall be personally liable on any contract entered into by him in the performance of his functions, except in so far as the contract otherwise provides.

(3) A receiver who is personally liable by virtue of subsection (2) of this section shall be entitled to be indemnified out of the property in respect of which he was appointed.

(4) Any contract entered into by or on behalf of the company prior to the appointment of a receiver shall, subject to the terms of the contract, continue in force notwithstanding that appointment, but the receiver shall not by virtue only of his appointment incur any personal liability on any such contract.

(5) Any contract entered into by a receiver in the performance of his functions shall, subject to the terms of the contract, continue in force although the powers of the receiver are subsequently suspended under section 16 of this Act.

18.—(1) The remuneration to be paid to a receiver shall be Remuneration determined by agreement between the receiver and the holder of receiver. of the floating charge by virtue of which he was appointed.

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(2) Where the remuneration to be paid to the receiver has not been determined under subsection (1) of this section, or where it has been so determined but is disputed by any of the persons mentioned in paragraphs (a) to (d) of this subsection, it may be fixed instead by the Auditor of the Court of Session on application made to him by—

- (a) the receiver ;
- (b) the holder of any floating charge or fixed security over all or any part of the property of the company ;
- (c) the company ; or
- (d) the liquidator of the company.

(3) Such application to the Auditor of the Court of Session as is mentioned in subsection (2) of this section shall be made in writing not later than one month after the sending of the abstract of receipts and payments of the receiver mentioned in section 25 of this Act which discloses the remuneration, if any, payable to the receiver.

(4) Where the receiver has been paid or has retained for his remuneration for any period before the remuneration has been fixed by the Auditor of the Court of Session under subsection (2) of this section any amount in excess of the remuneration so fixed for that period, the receiver or his personal representatives shall account for the excess.

Payment of
certain debts
out of assets
subject to
floating
charge in
priority to
claims under
the charge.

19.—(1) Where a receiver is appointed and the company is not at the time of the appointment in course of being wound up, the debts which fall under subsection (2) of this section shall be paid out of any assets coming to the hands of the receiver in priority to any claim for principal or interest by the holder of the floating charge by virtue of which the receiver was appointed.

(2) Debts falling under this subsection are debts which satisfy the conditions of this subsection, that is to say, they are debts—

- (a) which in every winding up are, under the provisions of Part V of the Act of 1948 relating to preferential payments, to be paid in priority to all other debts ; and
- (b) which, by the end of a period of six months after advertisement by the receiver for claims in the Edinburgh Gazette and in a newspaper circulating in the district where the company carries on business, either—
 - (i) have been intimated to him ; or
 - (ii) have become known to him.

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(3) In the application of the said provisions of Part V of the Act of 1948, section 319 of the Act of 1948 shall be construed as if the provision for payment of accrued holiday remuneration becoming payable on the termination of employment before or by the effect of the winding up order or resolution were a provision for payment of such remuneration becoming payable on the termination of employment before or by the effect of the appointment of the receiver.

(4) The periods of time mentioned in the said provisions of Part V of the Act of 1948 shall be reckoned from the date of the appointment of the receiver under section 13(6) or 14(6) of this Act.

(5) Any payments made under this section shall be recouped as far as may be out of the assets of the company available for payment of ordinary creditors.

20.—(1) Subject to section 21 of this Act and to the rights of Distribution of monies.
any of the following categories of persons, namely—

- (a) the holder of any fixed security which is over property subject to the floating charge and which ranks prior to, or *pari passu* with, the floating charge ;
- (b) all persons who have effectually executed diligence on any part of the property of the company which is subject to the charge by virtue of which the receiver was appointed ;
- (c) creditors in respect of all liabilities, charges and expenses incurred by or on behalf of the receiver ;
- (d) the receiver in respect of his liabilities, expenses and remuneration ; and
- (e) the preferential creditors entitled to payment under section 19 of this Act,

the receiver shall pay monies received by him to the holder of the floating charge by virtue of which the receiver was appointed in or towards satisfaction of the debt secured by the floating charge.

(2) Any balance of monies remaining after the provisions of subsection (1) of this section and section 21 of this Act have been satisfied shall be paid in accordance with their respective rights and interests to the following persons, as the case may require, namely—

- (a) any other receiver ;
- (b) the holder of a fixed security which is over property subject to the floating charge ;
- (c) the company or its liquidator, as the case may be.

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(3) Where any question arises as to the person entitled to a payment under the foregoing provisions of this section, or where a receipt or a discharge of a security cannot be obtained in respect of any such payment, the receiver shall consign the amount of such payment in any joint stock bank of issue in Scotland in name of the Accountant of Court for behoof of the person or persons entitled thereto.

Disposal of
interest in
property.

21.—(1) Where the receiver sells or disposes, or is desirous of selling or disposing, of any property or interest in property of the company which is subject to the floating charge by virtue of which the receiver was appointed and which is—

(a) subject to any security or interest of, or burden or encumbrance in favour of, a creditor the ranking of which is prior to, *pari passu* with, or postponed to the floating charge ; or

(b) property or an interest in property affected or attached by effectual diligence executed by any person ;

and the receiver is unable to obtain the consent of such creditor or, as the case may be, such person to such a sale or disposal, the receiver may apply to the court for authority to sell or dispose of the property or interest in property free of such security, interest, burden, encumbrance or diligence.

(2) On such application to the court as is mentioned in subsection (1) of this section, the court may, if it thinks fit, authorise the sale or disposal of the property or interest in question free of such security, interest, burden, encumbrance or diligence, and such authorisation may be on such terms or conditions as the court thinks fit:

Provided that such authorisation shall not be given where a fixed security over the property or interest in question which ranks prior to the floating charge has not been met or provided for in full.

(3) Where any sale or disposal is effected in accordance with the authorisation of the court under subsection (2) of this section, the receiver shall grant to the purchaser or disponee an appropriate document of transfer or conveyance of the property or interest in question, and that document shall have the effect, or, where recording, intimation or registration of that document is a legal requirement for completion of title to the property or interest, then that recording, intimation or registration, as the case may be, shall have the effect, of—

(a) disencumbering the property or interest of the security, interest, burden or encumbrance affecting it ; and

(b) freeing the property or interest from the diligence executed upon it.

(4) Nothing in this section shall prejudice the right of any creditor of the company to rank for his debt in the winding up of the company.

22.—(1) A receiver appointed by the holder of a floating charge under section 11(1) of this Act may resign on giving one month's notice thereof to—

Cessation of appointment of receiver.

- (a) the holders of floating charges over all or any part of the property of the company ;
- (b) the company or its liquidator ; and
- (c) the holders of any fixed security over property of the company which is subject to the floating charge by virtue of which the receiver was appointed.

(2) A receiver appointed by the court under section 11(2) of this Act may resign only with the authority of the court and on such terms and conditions, if any, as may be laid down by the court.

(3) Subject to subsection (4) of this section, a receiver may, on application to the court by the holder of the floating charge by virtue of which he was appointed, be removed by the court on cause shown.

(4) Where a receiver ceases to act as such, he shall, in respect of any expenses, charges or other liabilities he may have incurred in the performance of his functions as receiver, be entitled to be indemnified out of the property which is subject to the floating charge by virtue of which he was appointed.

(5) When a receiver ceases to act as such otherwise than by death he shall, and, when a receiver is removed by the court, the holder of the floating charge by virtue of which he was appointed shall, within 7 days of the cessation or removal, as the case may be, give the registrar of companies notice to that effect, and the registrar shall enter the notice in the register of charges.

If the receiver or the holder of the floating charge, as the case may require, makes default in complying with the requirements of this subsection, he shall be liable to a fine of £5 for every day during which the default continues.

(6) If by the expiry of a period of one month following upon the removal of the receiver or his ceasing to act as such no other receiver has been appointed, the floating charge by virtue of which the receiver was appointed—

- (a) shall thereupon cease to attach to the property then subject to the charge ; and
- (b) shall again subsist as a floating charge.

PART II
Powers of
court.

23.—(1) A holder of a floating charge by virtue of which a receiver was appointed may apply to the court for directions in any matter arising in connection with the performance by the receiver of his functions.

(2) Where a floating charge by virtue of which a person is purported to have been appointed receiver is discovered to be invalid, the court may, if it thinks fit, in whole or in part relieve that person from personal liability in respect of anything done or omitted to be done which, had he been validly appointed, would have been properly done or omitted; and the court may, if it thinks fit, make the person by whom the invalid appointment was made personally liable in respect of anything done or omitted to be done to the extent to which the person purported to have been appointed receiver has been relieved of personal liability.

Notification
that receiver
appointed.

24.—(1) Where a receiver has been appointed, every invoice, order for goods or business letter issued by or on behalf of the company or the receiver or the liquidator of the company, being a document on or in which the name of the company appears, shall contain a statement that a receiver has been appointed.

(2) If default is made in complying with the requirements of this section, the company and any of the following persons who knowingly and wilfully authorises or permits the default, namely, any officer of the company, any liquidator of the company and any receiver, shall be liable to a fine of £20.

Provisions
as to
information
where receiver
appointed.

25.—(1) Where a receiver is appointed then, subject to the provisions of this section and section 26 of this Act—

- (a) he shall forthwith send notice to the company of his appointment; and
- (b) there shall, within 14 days after receipt of the notice, or such longer period as may be allowed by the court or in writing by the receiver, be made out and submitted to the receiver in accordance with section 26 of this Act a statement in the prescribed form as to the affairs of the company; and
- (c) the receiver shall, within two months after receipt of the said statement, send—

(i) to the registrar of companies and to the court, a copy of the statement and of any comments he sees fit to make thereon and, in the case of the registrar of companies, also a summary of the statement and of his comments (if any) thereon; and

(ii) to the company, a copy of any such comments as aforesaid or, if he does not see fit to make any comment, a notice to that effect; and

(iii) to the holder of the floating charge by virtue of which he was appointed, to any trustees for the debenture-holders on whose behalf he was appointed and, so far as he is aware of their addresses, to all such debenture-holders, a copy of the said summary.

(2) The receiver shall, within two months, or such longer period as the court may allow, after the expiration of the period of twelve months from the date of his appointment and of every subsequent period of twelve months, and within two months, or such longer period as the court may allow, after he ceases to act as receiver, send to—

- (a) the registrar of companies;
- (b) the company;
- (c) the holder of the floating charge by virtue of which he was appointed;
- (d) any trustees for the debenture-holders of the company on whose behalf he was appointed;
- (e) all such debenture-holders (so far as he is aware of their addresses); and
- (f) the holders of all other floating charges or fixed securities over property of the company,

an abstract in the prescribed form showing his receipts and payments during that period of twelve months or, where he ceases to act as aforesaid, during the period from the end of the period to which the last preceding abstract related up to the date of his so ceasing, and the aggregate amounts of his receipts and of his payments during all preceding periods since his appointment.

(3) Where the receiver is appointed by the holder of the floating charge under section 11(1) of this Act, this section shall have effect—

- (a) with the omission of the references to the court in subsection (1); and
 - (b) with the substitution for the references to the court in subsection (2) of references to the Secretary of State;
- and, in any other case, references to the court shall be taken as referring to the court by which the receiver was appointed.

(4) Subsection (1) of this section shall not apply in relation to the appointment of a receiver to act with an existing receiver or in place of a receiver dying or ceasing to act, except that, where that subsection applies to a receiver who dies or ceases to act

PART II

before it has been fully complied with, the references in paragraphs (b) and (c) thereof to the receiver shall (subject to subsection (5) of this section) include references to his successor and to any continuing receiver.

Nothing in this subsection shall be taken as limiting the meaning of the expression "the receiver" where used in, or in relation to, subsection (2) of this section.

(5) Where the company is being wound up, this section and section 26 of this Act shall apply notwithstanding that the receiver and the liquidator are the same person, but with any necessary modifications arising from that fact.

(6) Nothing in subsection (2) of this section shall be taken to prejudice the duty of the receiver to render proper accounts of his receipts and payments to the persons to whom, and at the times at which, he may be required to do so apart from that subsection.

(7) If the receiver makes default in complying with the requirements of this section, he shall be liable to a fine of £5 for every day during which the default continues.

Special
provisions as
to statement
submitted
to receiver.

26.—(1) The statement as to the affairs of a company required by section 25 of this Act to be submitted to the receiver (or his successor) shall show as at the date of the receiver's appointment the particulars of the company's assets, debts and liabilities, the names, residences and occupations of its creditors, the securities held by them respectively, the dates when the securities were respectively given and such further or other information as may be prescribed.

(2) The said statement shall be submitted by, and be verified by the statutory declaration of, one or more of the persons who are at the date of the receiver's appointment the directors, and by the person who is at that date the secretary, of the company, or by such of the persons hereafter mentioned in this subsection as the receiver (or his successor), subject to the direction of the court, may require to submit and verify the statement, that is to say, persons—

- (a) who are or have been officers of the company ;
- (b) who have taken part in the formation of the company at any time within one year before the date of the receiver's appointment ;
- (c) who are in the employment of the company, or have been in the employment of the company within the said year, and are, in the opinion of the receiver, capable of giving the information required ;

(d) who are, or have been within the said year, officers of, or in the employment of, a company which is, or within the said year was, an officer of the company to which the statement relates.

(3) Any person making the statement and statutory declaration shall be allowed, and shall be paid by the receiver (or his successor) out of his receipts, such costs and expenses incurred in the preparation and making of the statement and statutory declaration as the receiver (or his successor) may consider reasonable, subject to an appeal to the court.

(4) Where the receiver is appointed by the holder of the floating charge under section 11(1) of this Act, this section shall have effect with the substitution for the references to the court in subsections (2) and (3) of references to the Secretary of State; and in any other case references to the court shall be taken as referring to the court by which the receiver was appointed.

(5) If any person without reasonable excuse makes default in complying with the requirements of this section, he shall be liable to a fine of £10 for every day during which the default continues.

(6) References in this section to the receiver's successor shall include a continuing receiver.

27.—(1) If any receiver—

(a) having made default in filing, delivering or making any return, account or other document, or in giving any notice, which a receiver is by law required to file, deliver, make or give, fails to make good the default within 14 days after the service on him of a notice requiring him to do so; or

(b) has, after being required at any time by the liquidator of the company so to do, failed to render proper accounts of his receipts and payments and to vouch the same and to pay over to the liquidator the amount properly payable to him,

Enforcement
of duty of
receiver to
make returns,
etc.

the court may, on an application made for the purpose, make an order directing the receiver to make good the default within such time as may be specified in the order.

(2) In the case of any such default as is mentioned in paragraph (a) of subsection (1) of this section, an application for the purposes of this section may be made by any member or creditor of the company or by the registrar of companies, and, in the case of any such default as is mentioned in paragraph (b) of that subsection, the application shall be made by the liquidator, and, in either case, the order may provide that all expenses of and incidental to the application shall be borne by the receiver.

PART II

(3) Nothing in this section shall be taken to prejudice the operation of any enactments imposing penalties on receivers in respect of any such default as is mentioned in subsection (1) of this section.

Interpretation
of Part II.

28.—(1) In this Part of this Act, unless the context otherwise requires, the following expressions shall have the following meanings respectively assigned to them, that is to say—

“company” means an incorporated company (whether a company within the meaning of the Act of 1948 or not) which the Court of Session has jurisdiction to wind up;

“secured debenture” means a bond, debenture, debenture stock or other security which, either itself or by reference to any other instrument, creates a floating charge over all or any part of the property of the company, but does not include a security which creates no charge other than a fixed security;

“series of secured debentures” means two or more secured debentures created as a series by the company in such a manner that the holders thereof are entitled *pari passu* to the benefit of the floating charge.

(2) Where a floating charge, secured debenture or series of secured debentures has been created by the company, then, except where the context otherwise requires, any reference in this Part of this Act to the holder of the floating charge shall—

(a) where the floating charge, secured debenture or series of secured debentures provides for a receiver to be appointed by any person or body, be construed as a reference to that person or body;

(b) where, in the case of a series of secured debentures, no such provision has been made therein but—

(i) there are trustees acting for the debenture-holders under and in accordance with a trust deed, be construed as a reference to those trustees; and

(ii) where no such trustees are acting, be construed as a reference to—

(aa) a majority in nominal value of those present or represented by proxy and voting at a meeting of debenture-holders at which the holders of at least one-third in nominal value of the outstanding debentures of the series are present or so represented; or

(bb) where no such meeting is held, the holders of at least one-half in nominal value of the outstanding debentures of the series.

(3) Any reference in this Part of this Act to a floating charge, secured debenture, series of secured debentures or instrument creating a charge shall, except where the context otherwise requires, include a reference to that floating charge, debenture, series of debentures or instrument as varied by any instrument.

PART II

(4) Any default in respect of any of the provisions of this Part of this Act, which is punishable by fine alone, shall be prosecuted summarily, and the provisions of section 49 of the Companies Act 1967 shall apply in relation to the proceedings as they apply to proceedings for offences punishable by fine alone under Part I of that Act and under the Act of 1948, and any such fine shall be a maximum fine.

1967 c. 81.

PART III

MISCELLANEOUS PROVISIONS

29.—(1) The notice referred to in section 22(5) of this Act and the notice referred to in section 25(1)(a) of this Act and the statutory declaration referred to in section 26(2) of this Act shall be in such form as may be prescribed.

Prescription of forms etc. and regulations.

(2) The powers to make regulations conferred by this Act on the Secretary of State shall be exercisable by statutory instrument, and any statutory instrument which exercises any power to prescribe a fee conferred by Part II of this Act shall be subject to annulment in pursuance of a resolution of either House of Parliament.

30.—(1) The Companies (Floating Charges) (Scotland) Act 1961, except section 7 thereof so far as relating to heads (b), (c) and (d) of that section, is hereby repealed, but nothing in this subsection shall affect the validity of anything done under that Act prior to the commencement of this Act.

Repeal and transitional provisions.
1961 c. 46.

(2) Any floating charge which—

(a) purports to subsist as a floating charge at the commencement of this Act; and

(b) if it had been created after the commencement of this Act, would have been validly created,

shall, as from the commencement of this Act, be deemed to have subsisted as a valid floating charge under this Act as from the date of its creation.

(3) Any provision which—

(a) is contained in an instrument creating a floating charge or in any ancillary document executed prior to, and still subsisting at, the commencement of this Act;

(b) relates to the ranking of charges; and

PART III

(c) if it had been made after the commencement of this Act, would have been a valid provision,
shall, as from the commencement of this Act, be deemed to have been a valid provision as from the date of its making.

Interpretation. 31.—(1) In this Act, unless the context otherwise requires, the following expressions shall have the following meanings respectively assigned to them, that is to say—

1948 c. 38. “Act of 1948” means the Companies Act 1948 ;

“ancillary document” means—

(a) a document which relates to the floating charge and which was executed by the debtor or creditor in the charge before the registration of the charge in accordance with Part IIIA of the Act of 1948 ; or

(b) an instrument of alteration such as is mentioned in section 7 of this Act ;

“company”, other than in Part II of this Act, means an incorporated company (whether a company within the meaning of the Act of 1948 or not) ;

“the court”, used in relation to a company, means the court having jurisdiction to wind up the company ;

“fixed security”, in relation to any property of a company, means any security, other than a floating charge or a charge having the nature of a floating charge, which on the winding up of the company in Scotland would be treated as an effective security over that property, and (without prejudice to that generality) includes a security over that property, being a heritable security within the meaning of section 9(8) of the Conveyancing and Feudal Reform (Scotland) Act 1970 ;

1970 c. 35.

“floating charge” has the meaning assigned to it by section 1 of this Act ;

“instrument of appointment” has the meaning assigned to it by section 13(1) of this Act ;

“prescribed” means prescribed by regulations made under this Act by the Secretary of State ;

“receiver” means a receiver of such part of the property of the company as is subject to the floating charge by virtue of which he has been appointed under section 11 of this Act ;

“register of charges” means the register kept by the registrar of companies for the purposes of Part IIIA of the Act of 1948 ;

“Register of Sasines” means the appropriate division of the General Register of Sasines ; PART III

“registrar of companies” means the registrar or other officer performing under the Act of 1948 the duty of registration of companies in Scotland.

(2) Any reference in this Act to any enactment shall be construed as a reference to that enactment as amended by or under any other enactment, including this Act.

(3) Except where the context otherwise requires, expressions used in this Act shall have the meanings assigned to those expressions in the Act of 1948.

(4) Any reference in any enactment other than this Act to any provision in the Companies (Floating Charges) (Scotland) Act 1961 shall be construed as a reference to the corresponding provision in this Act. 1961 c. 46.

(5) Part VI of the Act of 1948 (Receivers and Managers) shall not apply to receivers under this Act.

32.—(1) This Act may be cited as the Companies (Floating Charges and Receivers) (Scotland) Act 1972. Citation,
extent and
commence-
ment.

(2) This Act shall extend to Scotland only.

(3) This Act shall come into operation at the expiration of a period of one month beginning with the date on which it is passed.

THE SCHEDULE**Section 6****PART IIIA OF THE ACT OF 1948****REGISTRATION OF CHARGES (SCOTLAND)***Registration of charges with registrar of companies*

Registration
of charges
created by
companies.

106A.—(1) Subject to the provisions of this Part of this Act, every charge created by a company, being a charge to which this section applies, shall, so far as any security on the company's property or any part thereof is conferred thereby, be void against the liquidator and any creditor of the company unless the prescribed particulars of the charge, together with a copy (certified in the prescribed manner to be a correct copy) of the instrument, if any, by which the charge is created or evidenced, are delivered to or received by the registrar of companies for registration in the manner required by this Act within 21 days after the date of its creation, but without prejudice to any contract or obligation for repayment of the money thereby secured; and when a charge becomes void under this section the money secured thereby shall immediately become payable.

(2) This section applies to the following charges—

- (a) a charge on land wherever situated, or any interest therein, not including a charge for any rent, ground annual or other periodical sum payable in respect of the land, but including a charge created by a heritable security within the meaning of section 9(8) of the Conveyancing and Feudal Reform (Scotland) Act 1970;
- (b) a security over the uncalled share capital of the company;
- (c) a security over incorporeal moveable property of any of the following categories, that is to say:
 - (i) the book debts of the company;
 - (ii) calls made but not paid;
 - (iii) goodwill;
 - (iv) a patent or a licence under a patent;
 - (v) a trademark;
 - (vi) a copyright or a licence under a copyright;
- (d) a security over a ship or any share in a ship; and
- (e) a floating charge.

(3) In the case of a charge created out of the United Kingdom comprising property situated outside the United Kingdom, the period of 21 days after the date on which the copy of the instrument creating it could, in due course of post, and if despatched with due diligence, have been received in the United Kingdom shall be substituted for the period of 21 days after the date of the creation of the charge as the time within which, under subsection (1) of this section, the particulars and copy are to be delivered to the registrar.

(4) Where a charge is created in the United Kingdom but comprises property outside the United Kingdom, the copy of the instrument

creating or purporting to create the charge may be sent for registration under this section notwithstanding that further proceedings may be necessary to make the charge valid or effectual according to the law of the country in which the property is situated.

(5) Where a negotiable instrument has been given to secure the payment of any book debts of a company, the deposit of the instrument for the purpose of securing an advance to the company shall not, for the purposes of this section, be treated as a charge on those book debts.

(6) The holding of debentures entitling the holder to a charge on land shall not, for the purposes of this section, be deemed to be an interest in land.

(7) Where a series of debentures containing, or giving by reference to any other instrument, any charge to the benefit of which the debenture-holders of that series are entitled *pari passu*, is created by a company, it shall, for the purposes of this section, be sufficient if there are delivered to or received by the registrar, within 21 days after the execution of the deed containing the charge or, if there is no such deed, after the execution of any debentures of the series, the following particulars—

- (a) the total amount secured by the whole series ;
- (b) the dates of the resolutions authorising the issue of the series and the date of the covering deed, if any, by which the security is created or defined ;
- (c) a general description of the property charged ;
- (d) the names of the trustees, if any, for the debenture-holders ; and
- (e) in the case of a floating charge, a statement of any provisions of the charge and of any instrument relating thereto which prohibit or restrict or regulate the power of the company to grant further securities ranking in priority to, or *pari passu* with, the floating charge, or which vary or otherwise regulate the order of ranking of the floating charge in relation to subsisting securities ;

together with a copy of the deed containing the charge, or, if there is no such deed, of one of the debentures of the series :

Provided that, where more than one issue is made of debentures in the series, there shall be sent to the registrar for entry in the register particulars of the date and amount of each issue ; but any omission to do this shall not affect the validity of the debentures issued.

(8) Where any commission, allowance or discount has been paid or made, either directly or indirectly, by a company to any person in consideration of his subscribing or agreeing to subscribe, whether absolutely or conditionally, for any debentures of the company, or procuring or agreeing to procure subscriptions, whether absolute or conditional, for any such debentures, the particulars required to be sent for registration under this section shall include particulars as to the amount or rate per cent. of the commission, discount or allowance so paid or made, but any omission to do this shall not affect the validity of the debentures issued :

Provided that the deposit of any debentures as security for any debt of the company shall not, for the purposes of the subsection, be treated as the issue of the debentures at a discount.

(9) For avoidance of doubt, it is hereby declared that, in the case of a charge created by way of an *ex facie* absolute disposition or assignation qualified by a back letter or other agreement, or by a standard security qualified by an agreement, the compliance with subsection (1) of this section shall not of itself render the charge unavailable as security for indebtedness incurred after the date of the compliance; and where the amount secured by a charge so created is purported to be increased by a further back letter or agreement, a further charge shall be held to have been created by the *ex facie* absolute disposition or assignation, or, as the case may be, by the standard security, as qualified by the further back letter or agreement, and the provisions of this Part of this Act shall apply to such further charge as if—

(a) references in this Part of this Act (other than in this subsection) to the charge were references to such further charge; and

(b) for paragraphs (a) and (b) of subsection (10) of this section there were substituted the words “references to the date on which the further back letter or agreement was executed”.

(10) In this Part of this Act “company” (except in section 106K of this Act) means an incorporated company registered in Scotland; “registrar of companies” means the registrar or other officer performing under this Act the duty of registration of companies in Scotland; and references to the date of creation of a charge are:

(a) in the case of a floating charge, the date on which the instrument creating the floating charge was executed by the company creating the charge; and

(b) in the case of any other charge, the date on which the right of the person entitled to the benefit of the charge was constituted as a real right.

Duty of
company to
register charges
created by
company.

106B.—(1) It shall be the duty of a company to send to the registrar of companies for registration the particulars of every charge created by the company and of the issues of debentures of a series requiring registration under section 106A of this Act, but registration of any such charge may be effected on the application of any person interested therein.

(2) Where registration is effected on the application of some person other than the company, that person shall be entitled to recover from the company the amount of any fees properly paid by him to the registrar on the registration.

(3) If any company makes default in sending to the registrar for registration the particulars of any charge created by the company or of the issues of debentures of a series requiring registration as aforesaid, then, unless the registration has been effected on the application of some other person, the company and every officer of the company who is in default shall be liable to a default fine of £50.

106C.—(1) Where a company acquires any property which is subject to a charge of any such kind as would, if it had been created by the company after the acquisition of the property, have been required to be registered under this Part of this Act, the company shall cause the prescribed particulars of the charge, together with a copy (certified in the prescribed manner to be a correct copy) of the instrument, if any, by which the charge was created or is evidenced, to be delivered to the registrar of companies for registration in the manner required by this Act within 21 days after the date on which the transaction was settled:

Duty of company to register charges existing on property acquired.

Provided that, if the property is situated and the charge was created outside Great Britain, 21 days after the date on which the copy of the instrument could in due course of post, and if despatched with due diligence, have been received in the United Kingdom shall be substituted for 21 days after the settlement of the transaction as the time within which the particulars and the copy of the instrument are to be delivered to the registrar.

(2) If default is made in complying with this section, the company and every officer of the company who is in default shall be liable to a default fine of £50.

106D.—(1) The registrar of companies shall keep, with respect to each company, a register in the prescribed form of all the charges requiring registration under this Part of this Act, and shall, on payment of the prescribed fee, enter in the register with respect to such charges—

Register of charges to be kept by registrar of companies.

(a) in the case of a charge to the benefit of which the holders of a series of debentures are entitled, such particulars as are specified in section 106A(7) above ;

(b) in the case of any other charge :

(i) if the charge is a charge created by the company, the date of its creation, and if the charge was a charge existing on property acquired by the company, the date of the acquisition of the property ;

(ii) the amount secured by the charge ;

(iii) short particulars of the property charged ;

(iv) the persons entitled to the charge ; and

(v) in the case of a floating charge, a statement of any provisions of the charge and of any instrument relating thereto which prohibit or restrict or regulate the power of the company to grant further securities ranking in priority to, or *pari passu* with, the floating charge, or which vary or otherwise regulate the order of ranking of the floating charge in relation to subsisting securities.

(2) The register kept in pursuance of this section shall be open to inspection by any person on payment of such fee, not exceeding 5p for each inspection, as may be prescribed.

(3) A statutory instrument which exercises any power to prescribe a fee conferred by this section shall be subject to annulment in pursuance of a resolution of either House of Parliament.

Certificate of
registration
to be issued.

106E. The registrar shall give a certificate under his hand of the registration of any charge registered in pursuance of this Part of this Act, stating the name of the company and of the person first-named in the charge among the persons entitled to the benefit thereof (or, in the case of a series of debentures, the name of the holder of the first such debenture to be issued) and the amount thereby secured, and the certificate shall be conclusive evidence that the requirements of this Part of this Act as to registration have been complied with.

Entries of
satisfaction
and release
of property
from charges.

106F.—(1) The registrar of companies, on application being made to him in the prescribed form, and on evidence being given to his satisfaction with respect to any registered charge—

- (a) that the debt for which the charge was given has been paid or satisfied in whole or in part ; or
- (b) that part of the property charged has been released from the charge or has ceased to form part of the company's property ;

may enter on the register a memorandum of satisfaction, in whole or in part, regarding that fact, and where he enters a memorandum of satisfaction in whole he shall, if required, furnish the company with a copy thereof.

(2) Without prejudice to the duty of the registrar under this section to require to be satisfied as aforesaid, he shall not be so satisfied unless—

- (a) the creditor entitled to the benefit of the floating charge, or a person authorised to do so on his behalf, certifies as correct the particulars submitted to the registrar with respect to the entry on the register of a memorandum under this section ; or
- (b) the court, on being satisfied that such certification cannot readily be obtained, directs him accordingly.

(3) Nothing in this section shall be held to require the company to submit particulars with respect to the entry in the register of a memorandum of satisfaction where the company, having created a floating charge over all or any part of its property, disposes of part of the property subject to the floating charge.

(4) Any memorandum or certification required for the purposes of this section shall be in such form as may be prescribed.

Rectification
of register
of charges.

106G. The court, on being satisfied that the omission to register a charge within the time required by this Act or that the omission or mis-statement of any particular with respect to any such charge or in a memorandum of satisfaction was accidental, or due to inadvertence or to some other sufficient cause, or is not of a nature to prejudice the position of creditors or shareholders of the company, or that on other grounds it is just and equitable to grant relief, may, on the application of the company or any person interested, and on such terms and conditions as seem to the court just and expedient, order that the time for registration shall be extended, or, as the case may be, that the omission or mis-statement shall be rectified.

*Provisions as to company's register of charges and as to
copies of instruments creating charges*

106H. Every company shall cause a copy of every instrument creating any charge requiring registration under this Part of this Act to be kept at the registered office of the company:

Copies of instruments creating charges to be kept by company.

Provided that, in the case of a series of uniform debentures, a copy of one debenture of the series shall be sufficient.

106I.—(1) Every company shall keep at the registered office of the company a register of charges and enter therein all charges specifically affecting property of the company and all floating charges on any property of the company, giving in each case a short description of the property charged, the amount of the charge, and, except in the case of securities to bearer, the names of the persons entitled thereto.

Company's register of charges.

(2) If any officer of the company knowingly and wilfully authorises or permits the omission of any entry required to be made in pursuance of this section, he shall be liable to a fine of £50.

106J.—(1) The copies of instruments creating any charge requiring registration under this Part of this Act with the registrar of companies, and the register of charges kept in pursuance of section 106I of this Act, shall be open during business hours (but subject to such reasonable restrictions as the company in general meeting may impose, so that not less than two hours in each day shall be allowed for inspection) to the inspection of any creditor or member of the company without fee, and the said register of charges shall also be open to the inspection of any other person on payment of such fee, not exceeding 5p for each inspection, as the company may prescribe.

Right to inspect copies of instruments creating charges and company's register of charges.

(2) If inspection of the said copies or register is refused, every officer of the company who is in default shall be liable to a fine of £5 and a further fine of £2 for every day during which the refusal continues.

(3) If any such refusal occurs in relation to a company the court may by order compel an immediate inspection of the copies or register.

106K. The provisions of this Part of this Act shall extend to charges on property in Scotland which are created, and to charges on property in Scotland which is acquired, by a company incorporated outside Great Britain which has a place of business in Scotland.

Extension of Part IIIA.